ASSUMPTIONS & METHODOLOGY

Area	*Methodology / Assumption*	*Reason*
Financial Statement Basis	The analysis is based on TCS's consolidated financial statements for FY2021 to FY2025.	The consolidated statements provide a consistent basis for analysing the company's overall financial performance across the five-year period.
Currency & Units	All financial statement amounts are presented in ₹ crore, as reported in the financial statements.	Using the same unit throughout the model keeps the analysis consistent and avoids unnecessary conversion.
Revenue	Revenue from Operations is used as the primary revenue measure for margin, growth and efficiency calculations.	Revenue from Operations represents the company's core operating revenue and is more useful for analysing operating performance.
Total Revenue	Total Revenue is calculated using Revenue from Operations plus Other Income.	This provides a broader view of the company's total income while keeping operating revenue separately identifiable.
Revenue Growth	Year-over-year growth is calculated by comparing the current year's figure with the previous year's figure.	This shows how quickly the company's revenue has changed from one year to the next.
Expense Analysis	Major expense categories are analysed individually and also expressed as a percentage of Revenue from Operations.	This helps identify which costs have the greatest impact on revenue and how the cost structure has changed over time.
EBIT	EBIT is determined using Profit Before Tax plus Finance Costs.	This isolates operating earnings before the effect of financing costs and tax.
EBIT Margin	EBIT is divided by Revenue from Operations.	This shows the proportion of operating revenue retained as earnings before financing costs and tax.
PBT Margin	Profit Before Tax is divided by Revenue from Operations.	This measures profitability before the effect of income tax.
Net Profit Margin	Profit for the Year is divided by Revenue from Operations.	This shows how much profit the company retains from its operating revenue after expenses and tax.
Exceptional Items	Exceptional items are shown separately rather than being combined with normal operating results.	Separating unusual items makes it easier to distinguish recurring performance from items that may not occur regularly.
ROA	Return on Assets is calculated using Net Profit relative to the relevant asset base. FY2021 uses year-end assets because FY2020 figures are outside the five-year analysis period; subsequent years use the methodology applied consistently in the model.	This avoids introducing an additional historical year solely for the purpose of calculating FY2021 average assets.
ROE	Return on Equity is calculated using Net Profit relative to the relevant equity base. FY2021 uses year-end equity because FY2020 figures are outside the five-year analysis period; subsequent years use the methodology applied consistently in the model.	This keeps the five-year analysis self-contained while maintaining a consistent approach for the remaining years.
Working Capital	Working Capital is calculated as Current Assets minus Current Liabilities.	This measures the company's overall short-term financial position.
Operating Working Capital	Operating Working Capital is calculated using operating current assets and operating current liabilities rather than including every balance-sheet item.	The purpose is to focus on the capital tied up in the company's day-to-day operations rather than financing and non-operating balances.
Receivables	Trade Receivables and Unbilled Receivables are included when calculating operating receivables.	Both balances represent amounts relating to revenue that have not yet been collected and therefore affect the company's operating cash cycle.
Receivable Days	Receivable Days are calculated using Trade Receivables plus Unbilled Receivables relative to Revenue from Operations.	Including both billed and unbilled receivables gives a more complete view of the amount tied up in customer-related balances.
Payables	Trade Payables are used as the operating payable balance.	Trade Payables directly relate to amounts owed to suppliers and therefore are relevant to the operating cash cycle.
Payable Days	Total Expenses are used as the denominator for Payable Days.	A precise supplier-related expense base could not be isolated from the available consolidated financial statement information. Using Total Expenses provides a consistent basis for the five-year comparison.
Unearned & Deferred Revenue	Unearned and Deferred Revenue is treated as an operating liability when calculating Operating Working Capital.	These balances arise from operating activities and represent amounts received or recognised before the related service or obligation is fully satisfied.
Cash & Cash Equivalents	Cash and Cash Equivalents are presented separately from operating working capital.	Cash is a liquid financial resource rather than capital tied up in the operating cycle.
Total Debt	Total Debt includes the relevant current and non-current borrowing/loan balances identified from the financial statements.	Combining current and non-current borrowings provides a more complete view of the company's debt position.
Debt-to-Equity	Total Debt is divided by Total Equity.	This measures the company's reliance on debt relative to shareholder funding.
Debt-to-Assets	Total Debt is divided by Total Assets.	This shows the proportion of the company's asset base financed through debt.
Interest Coverage	Interest Coverage is calculated as EBIT divided by Finance Costs.	This measures the company's ability to cover financing costs from earnings before interest and tax.
Asset Turnover	Asset Turnover is calculated as Revenue from Operations divided by the relevant asset base.	This measures how efficiently the company uses its assets to generate operating revenue.
Operating Cash Flow	Operating Cash Flow is taken from the Cash Flow Statement.	Using the reported cash flow figure avoids reconstructing operating cash flow from individual components.
Capital Expenditure	Capital Expenditure is based on cash outflows relating to the purchase/acquisition of property, plant and equipment and other qualifying capital assets identified in the Cash Flow Statement.	Only expenditure that represents investment in long-term operating assets is treated as CapEx. Other investing activities such as deposits, investments, loans given and acquisitions are not automatically classified as CapEx.
CapEx Sign Convention	CapEx is shown as a negative cash outflow in the model.	This follows the presentation of cash outflows in the Cash Flow Statement and makes the Free Cash Flow calculation easier to follow.
Free Cash Flow	Free Cash Flow is calculated as Operating Cash Flow plus Capital Expenditure because CapEx is recorded as a negative amount.	This represents the cash generated from operations after the company's capital investment outflows.
Operating Cash Flow Margin	Operating Cash Flow is divided by Revenue from Operations.	This shows how effectively operating revenue is converted into operating cash flow.
Free Cash Flow Margin	Free Cash Flow is divided by Revenue from Operations.	This shows how much operating revenue remains as free cash flow after capital expenditure.
OCF to Net Profit Ratio	Operating Cash Flow is divided by Profit for the Year.	This measures how effectively accounting profit is converted into operating cash.
Ratio Presentation	Percentage-based ratios are shown as percentages, while turnover and leverage ratios are shown as multiples and working-capital ratios are shown in days.	Using the appropriate unit for each ratio makes the analysis easier to interpret and compare.
Ratio Consistency	Ratios are calculated using the same methodology across all five financial years wherever the required data is available.	Consistency is more important than changing the calculation method from year to year.
EPS / Per-Share Analysis	Per-share analysis has been excluded from the main Financial Analysis.	TCS presents different EPS figures in its financial statements and management-performance presentations, including figures affected by specified adjustments. Excluding this section avoids mixing different EPS bases and keeps the core FP&A analysis focused on comparable operating and financial metrics.
Data Source & Scope	The analysis and forecast are based on publicly available TCS annual reports and financial information used for this project. No confidential internal budgets, management forecasts, client-level data, contract-level information, or other non-public company data has been used.	The purpose of the project is to demonstrate an FP&A approach using information that would be accessible to an external analyst. Where detailed internal operating drivers are not available, historical financial trends and clearly stated assumptions are used instead.